

Code Files Description

- `BVAR_bp_IRF_G.m` — Main script that loads the data, constructs the VAR, defines the priors, runs the Bayesian simulations, and summarizes the posterior results.
- `BVAR_bp_phi.m` — Draws the VAR coefficient matrix from its conditional posterior distribution.
- `BVAR_bp_Sigma.m` — Draws the reduced-form residual covariance matrix from its conditional posterior distribution.
- `BVAR_bp_IRF_G.m` — Computes the responses of net taxes, government spending, and output to a unit spending shock, assuming spending decisions come first ($b_2 = 0$), as in Blanchard and Perotti's benchmark specification.
- `BVAR_bp_IRF_T.m` — Computes the responses of net taxes, government spending, and output to a unit tax shock, assuming tax decisions come first ($a_2 = 0$) as in Blanchard and Perotti's benchmark tax-shock specification.